

INDIAN ECONOMY

LEVEL
II



LECTURES

IMPORTANT ISSUES ABOUT
GOODS AND SERVICES TAX
(GST) IN RECENT TIMES

MODULE - 36



GST COMPENSATION CESS LEVY TILL MARCH 2026

The Finance Ministry has notified the extension of levy of compensation cess under the GST regime till March 2026.



STATES WILL NOT GET THAT MONEY!

- The compensation for States/UTs will end on June 30, 2022.
- However, the period for levy and collection of cess under the Section 8 of the GST(Compensation to States) Act, 2017 shall be up to March 31, 2026, as per a Finance Ministry notification.
- The cess is levied on certain goods such as fossil fuel-based automobiles, sin goods like tobacco, that fall in 28% GST category and collected under a compensation fund.





HENCE, LEVYING OF THE CESS IS ONLY TO PAYBACK THE BORROWINGS!

- As the cess collected had not matched the GST compensation to be paid to the States, the Centre borrowed and released to States Rs. 1.1 Lakh crore in 2020-21 and Rs. 1.59 Lakh crore in 2021-22 as back-to-back loans to meet a part of the shortfall in cess collection.
- As the interest and the principal on the back-to-back loans were to be paid from the cess itself, the cess that would be collected from July 1, 2022, up to March 31, 2026 would be used to pay back the loans and also for arrears of compensation (if any).

No cess would be available for distribution to States from July 1, 2022.

FOUR ASPECTS WHICH NEGATE THE EXTENSION OF COMPENSATION TO STATES FROM JULY 1, 2022

1 14% ANNUAL GROWTH ASSUMPTION ITSELF IS FLAWED!

- The benchmark of 14% revenue growth on which compensation is pegged is too high, when the rate of growth in taxes subsumed under GST between FY13 and FY17 was just 8%.
- The uniform protected growth of 14% for all states has meant that states that had lower rate of growth in tax revenue in the pre-GST period also became eligible for higher compensation cess.

2 MORAL HAZARD

- There is also a case of moral hazard of States becoming too dependent on these payments to bridge their fiscal gaps.
- GST compensation receipts accounted for more than 20 per cent of tax revenue in FY22 in States such as Bihar, Karnataka, Himachal Pradesh and Delhi.



FOUR ASPECTS WHICH NEGATE THE EXTENSION OF COMPENSATION TO STATES FROM JULY 1, 2022

3 GST REVENUES ARE GROWING STRONGLY!

- GST revenues have grown by 27 per cent in FY22. Around 24 States/UTs saw GST revenue growths of over 20 per cent and 11 recorded over 30 per cent growth in this period.
- These numbers show that the GST system is well established and there may not be any need to hand-hold States and UTs anymore.

4 UNFAIR FOR THE CONSUMERS

- Centre also needs to keep in mind the negative impact of compensation cess on consumers and industries, especially the automotive sector.
- The funding of compensation payment will have to come from consumers, which means that the cess collection will extend well beyond 2026, and that would be more than a decade after launch of GST. This is unfair on consumers and industry and will also have a cascading effect on inflation.



SIX TRANSFORMATIONAL REFORMS FOR ROBUST GST ARCHITECTURE

1 FREE THE SMALL FIRMS FROM GST HASSLES

- As per the data, out of total 1.4 crore registrations as in 2022, firms with less than Rs. 1.5 crore annual turnover account for 84%, but contributes less than 7 per cent of the total tax collected.
- At present, GST is optional for firms with an annual turnover of less than Rs. 40 lakh for goods and Rs. 20 lakh for services.
- There is a case for raising the exemption limit to Rs. 1.5 crore for goods and services.
- With this, GST Network is required to deal with less than 23 lakh taxpayers in contrast to around 1.4 crore now.

- The reduced load will allow the GSTN to introduce the invoice matching concept, which will result in 100% compliance and it solves the problem of fake invoices and tax theft.





SIX TRANSFORMATIONAL REFORMS FOR ROBUST GST ARCHITECTURE

1 FREE THE SMALL FIRMS FROM GST HASSLES

IT INCREASES THE PROFIT OF MSMEs THAT CAN BECOME COMPETITIVE!



- The proposal will take out lakhs of small firms from the tax net. It increases their profits and makes them more competitive.
- The step will revolutionise the small sector.
- Free from GST hassles, small firms can invest in technology and create more jobs.
- Due to the invoice matching, the increase in tax collection will adequately compensate for the 7 per cent tax loss.



2 OPERATIONALISE INVOICE MATCHING

- Operationalising invoice matching and unifying State portals with GSTN is the need of the hour.
- The GST rules provide system-driven invoice matching to enable quick tax credits and avoid the prevailing fake invoices problem. The GSTN must immediately implement this.



3 DO AWAY WITH STATE-WISE REGISTRATIONS

- Today, if a firm does business in 10 States, it must obtain 10 GSTINs and maintain a separate account for each.
- If a firm has a surplus SGST credit in Maharashtra, it cannot use this credit to pay SGST dues in Karnataka. This results in capital blockage.
- Essentially, GST has converted one firm into 10 independent entities. This defeats the One Nation One Tax concept.

The GSTN software may be tweaked to allow credit transfer between two States or between the Centre and States.

4 REDUCE THE NUMBER OF SLABS AND INCLUDE LEFTOVER PRODUCTS



- Many countries implementing GST have just one rate for all items. From zero to 28 per cent, India has seven rates. This number increases, if we also consider compensation cess rates.
- Mining the past five years' GST data will identify less important categories from the revenue perspective and help reduce tax slabs without compromising revenue.
- The Government must open this data for research purposes after suppressing commercially sensitive information.

Goods and services	From	To
Knives, spoons, forks and ladles	12%	18%
LED lamps and lights	12%	18%
Water pumps, deep tube-well turbine pumps, submersible pumps	12%	18%
Solar water heater and system	5%	12%
Dairy machinery	12%	18%
Work contract for roads, railways, metro, monuments, canals, dams, educational institutions and hospitals	12%	18%
Ostomy appliances	12%	5%
Orthopedic appliance for splints and fractures, and intraocular lens	12%	5%

The Government may mandate for everyone the use of the HS 6 digit code.

- The GST uses **Harmonised Structure codes** for classifying most items.
- HS codes are an **accepted product classification system** in over 180 countries. HS codes are expressed in **2,4,6, or 8 digits**.
- GST rules have **exempted small firms** from mentioning any HS code. The **product description** is sufficient. Others must mention the HS **4/6 digit code**. **Exporters** must mention the **HS 8 digit code**.
- Non-uniform criteria for mention of HS code resulted in the computer **not matching the invoices**.





6

REDUCE WORKING CAPITAL BLOCKAGE FOR EXPORTERS

- The Government collects GST from exporters only to refund it later.
- This is because GST is a tax on domestic consumption, while exports go out of the country.
- The GST refund process (of the taxes collected on the inputs) blocks exporters' money for a long time.



- GST Council in 2018 recommended a new e-wallet facility for exporters. The exporters' e-wallets will have notional credits.
- The exporters will use these instead of cash to pay GST. The transactions have to be reconciled periodically to prevent misuse.
- Using blockchain to maintain the integrity of the e-wallets may be explored.



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